

The Spreadsheet-to-Code Checklist for Tax Teams

12 checks for the workbooks behind your tax provision, compliance and close. Tick every check you can honestly answer with “yes”. The ones you can’t tick are where errors – and audit questions – come from.

☐ = tick if true **Check:** how to test it in 5 minutes Score yourself on page 2

A · INPUTS & STRUCTURE

1-3

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- ☐

01 Inputs are parameters

Every rate and threshold – 21% federal, state rates, apportionment factors – lives in one input table. No number is typed into a formula.

Check: search your formulas for typed constants like 0.21 or *21%.

 - ☐

02 One source of truth

Data comes from one place (trial balance export, ERP, fixed-asset system) and is imported – not linked across files.

Check: Data → Edit Links shows zero external workbooks. No “Provision_Final_v3_NEW.xlsx”.

 - ☐

03 Inputs, logic and output are separated

Inputs in one place, calculations in another, reports in a third. Nobody types into the calculation area.

Check: could a new team member tell in 30 seconds where to enter data?

B · CALCULATION

4-6

-
- ☐

04 Rounding happens at the end

Everything is calculated at full precision and rounded once, for presentation. No \$1 differences that someone “fixes” by hand.

Check: no ROUND() in intermediate steps; totals foot without adjustments.

 - ☐

05 Reconciliation checks are built in

Totals tie to the trial balance, the rate reconciliation ties to total tax expense, deferreds roll forward from last period. Each check shows ✓ or ✗.

Check: is there one place that shows whether everything ties?

 - ☐

06 No silent plugs

Every manual adjustment has an owner, a reason and a date. A plug without a note is flagged automatically.

Check: count the hard-coded “other” lines. Can you explain each one?

☐ 07 **Test cases with known answers**

A few examples whose result you know by heart – rerun after every change. Example § 163(j): $30\% \times \$14.0\text{M}$
ATI = \$4.2M limit.

Check: when did someone last prove the workbook still gives the right answer?

☐ 08 **A real version log**

Every change to logic or inputs is logged: date, person, reason. File names like “_v3_FINAL_NEW” don’t count.

Check: who changed row 48 last quarter – and why? Can you answer in 1 minute?

☐ 09 **An audit trail for every number**

Any figure in the provision can be traced back to its source in one or two clicks. It’s the first thing your SOX auditor asks for.

Check: pick a random deferred tax balance. Trace it to the source data.

☐ 10 **Access control**

Clear rules on who may change inputs and who may change logic. Logic is locked; changes go through review and sign-off.

Check: could anyone with the file overwrite a formula without anyone noticing?

D • DOCUMENTATION & AI

11-12

☐ 11 **Documented assumptions**

Assumptions, legal basis (e.g. the IRC section) and as-of date are written down next to the calculation – not in one person’s head.

Check: if the owner is out for 3 weeks in close, can someone else run it?

☐ 12 **AI reads, code calculates**

AI may read documents, classify and draft. The final math is done by tested code: same input, same result – every time.

Check: is any number in your return or provision typed in from a chatbot answer?

10-12 ✓

Solid. You’re ready to turn the workbook into a tool – or you already did.

6-9 ✓

Pick the 3 gaps that hurt most at quarter-end and fix those first.

0-5 ✓

Your workbook is a risk. Start with checks 01, 05 and 09.

Want to see what a workbook looks like as a tool – with parameters, checks and an audit trail? Free demo with sample data + 20-min intro call. Please never send real company data via DM.

DM “TOOL”